

4. ***Lack of Interoperability.*** Consumers and businesses deal with financial institutions in an environment that locks interconnectivity. It is well-known that the U.S. financial system is siloed and designed to sustain high switching costs. Moving money from one institution to another can be unduly lengthy and complicated. For example, a wire transfer can take three days to complete.

In an attempt to mitigate this issue within the world of centralized finance, in 2019 Visa tried to acquire Plaid,³ a product that allows any company to plug into an institution's information stack with the user's permission. Though this was a strategic move to help Visa buy some time, it did not address the fundamental problems with the current financial infrastructure.

5. ***Opacity.*** The current financial system is not transparent. Bank customers have very little information on the financial health of their bank and instead must place their faith in the limited government protection of FDIC insurance on their deposits. Further, it is difficult for them to know if the rate they are offered on a loan is competitive. Although the consumer insurance industry has made some progress with fintech services that offer to find the "lowest" price, the loan market is very fragmented – yet competing lenders all suffer from the system's inefficiencies. The result is that the lowest price still reflects legacy brick-and-mortar and bloated back-office costs.